



Commercial and mortgage banks

Banks make money by lending out money and charging interest on it. They also pay interest—at a lower rate—on deposits that they hold from savers. To remain solvent, banks must maintain a balance between the two.

How it works

Banks need to continually make money in order to pay costs and expenses, make profits, maintain or increase their market share, and make regular dividend payments to shareholders.

Commercial banks provide loans to individuals and sell products to customers including loans, savings accounts, credit cards, overdrafts, and mortgages for prospective home buyers.

Commercial banks advise and lend to businesses, to retail or small-business customers, to

business start-ups that need capital to grow, and to large businesses that need multimillion dollar funding for major projects.

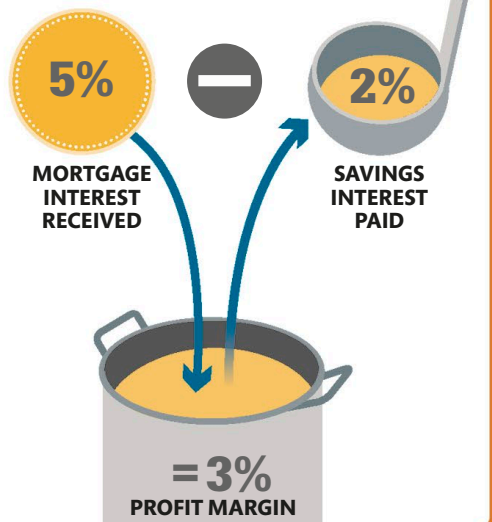
Banks can vary the rates they offer to customers in order to boost demand for their products. They do this either because central bank interest rates have been raised or lowered, or because they want to undercut competitors and increase their market share. For example, in order to attract customers, one bank might offer a mortgage loan at a rate lower than that offered by its competitors.

A fine balance

The banking business is constantly in flux, but banks must protect themselves against a sudden significant outflow of savers' money. If this happened it could lead to a run on the bank, which might in turn cause the bank to collapse. In order to guard against this, banks keep capital reserves and offer competitive savings rates in notice accounts. Notice, usually of between 30 and 180 days, has to be given before money can be withdrawn from such accounts.

PROFITABLE INTEREST RATES

Banks constantly adjust the interest rates they charge on debt and the interest they pay on savings and current account balances, depending on market factors and their business objectives. To make a profit, a bank needs to lend money at a higher rate than it pays on the savings and deposit accounts it offers. In the example on the right, the bank pays savers and deposit holders 2% on the money they hold with it. At the same time the bank charges mortgage borrowers 5%, enabling it to achieve an overall profit margin of 3%.



10%
capital reserve
requirement of
largest US banks